CASCADIA ANALYTICS

Construction Partners, Inc.

Equity Research Note | ROAD | 22 OCTOBER 2026

Roll-Up Executing

Construction Partners screens as a Hold with a $83.14 blended target, 1% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$83.93	$83.14	-1%	HOLD

Investment Thesis

Roll-Up Executing. FY25 revenue grew 54% to $2.81B with adjusted EBITDA up 92% to $423.7M [10-K FY25]. Q3 FY26 added 28% revenue growth and a record $3.36B backlog [10-Q Q3 FY26]. Seventeen acquisitions since FY2024 have been integrated across eight Sunbelt states. Our Math Disagrees With the Market. At $83.93 [Mkt 17-Oct-26], our DCF base of $78.54 implies 6% downside. Analysts see $133.50 on average, but the model says the market already prices a 5.0% growth rate. Honest read: a good company at a full price.

- Roll-Up Executing
- Our Math Disagrees With the Market
- Leverage Is the Swing Factor

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The latest print

Our Math Disagrees With the Market. At $83.93, our DCF base of $78.54 implies 6% downside. Analysts see $133.50 on average, but the model says the market already prices a 5.0% growth rate. Honest read: a good company at a full price.

Leverage Is the Swing Factor. 3.2x debt-to-EBITDA with $90.4M of annual interest is the main thing standing between this business and a higher multiple. Getting to the 2.5x target is the clearest path to closing the valuation gap.

$999.4M	$163.0M	$1.08	$3.36B	$2.81B	~3.2x
REVENUE (Q3 FY26)	ADJ EBITDA (Q3 FY26)	ADJ EPS (Q3 FY26)	BACKLOG (Q3 FY26)	REVENUE (FY2025)	DEBT / EBITDA (TTM)

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q3 FY26)	$999.4M	+28.2%	Up
Adj EBITDA (Q3 FY26)	$163.0M	+24%	Up
Adj EPS (Q3 FY26)	$1.08	+33%	Up
Backlog (Q3 FY26)	$3.36B	+14.3%	Up
Revenue (FY2025)	$2.81B	+54%	Up
Debt / EBITDA (TTM)	~3.2x	n/a	Flat
FY2026 Revenue Guide	$3.64-3.68B	n/a	Up

The moat

Federal and state infrastructure funding; public contract awards expected up 10-15% in FY2026

The growth engine

Vertical integration with over 50% of liquid asphalt supplied internally, supporting pricing power

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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Construction Partners, Inc. valuation framework

SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	4.5%	$4.36B	7.7%	**$47.56**	-43%
Base	50%	8.5%	$5.07B	9.5%	**$78.54**	-6%
Bull	25%	13.5%	$6.07B	11.7%	**$127.90**	+52%

Bear: downside case at $47.56 (-43%).

Base: central case at $78.54 (-6%).

Bull: upside case at $127.90 (+52%).

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The probability-blended target implies 1% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -1% from the $83.93 reference price.

$83.14
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2026E)	**$3.66B**
Valuation horizon	**2026-2030**
Live WACC	**7.35%**
Terminal growth	**3.0%**
Net debt	**$1.79B**
2030 FCF (Base)	**$312M**
10-year Treasury yield	**5.0%**
Beta	**0.95**
Equity risk premium	**3.5%**

HOLD | $83.14 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 5.0%, between Bear (4.5%) and Base (8.5%) — cautious.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
+0%	$5.4B	$64.58	+20%	$10.8B	$160.67	+40%	$19.6B	$316.90
+1%	$5.6B	$68.25	+21%	$11.2B	$166.89	+41%	$20.2B	$326.65
+2%	$5.8B	$72.02	+22%	$11.5B	$173.27	+42%	$20.7B	$336.62
+3%	$6.1B	$75.91	+23%	$11.9B	$179.79	+43%	$21.3B	$346.79
+4%	$6.3B	$79.90	+24%	$12.3B	$186.47	+44%	$21.9B	$357.17
+5%	**$6.5B**	**$84.01**	+25%	$12.7B	$193.32	+45%	$22.5B	$367.77
+6%	$6.8B	$88.23	+26%	$13.1B	$200.32	+46%	$23.1B	$378.59
+7%	$7.0B	$92.57	+27%	$13.5B	$207.49	+47%	$23.7B	$389.62
+8%	$7.3B	$97.03	+28%	$13.9B	$214.83	+48%	$24.4B	$400.88
+9%	$7.5B	$101.61	+29%	$14.3B	$222.34	+49%	$25.0B	$412.37
+10%	$7.8B	$106.31	+30%	$14.7B	$230.02	+50%	$25.7B	$424.08
+11%	$8.0B	$111.14	+31%	$15.2B	$237.87	+51%	$26.3B	$436.03
+12%	$8.3B	$116.10	+32%	$15.6B	$245.90	+52%	$27.0B	$448.21
+13%	$8.6B	$121.19	+33%	$16.1B	$254.12	+53%	$27.7B	$460.64
+14%	$8.9B	$126.42	+34%	$16.6B	$262.51	+54%	$28.4B	$473.30
+15%	$9.2B	$131.77	+35%	$17.0B	$271.10	+55%	$29.2B	$486.21
+16%	$9.5B	$137.27	+36%	$17.5B	$279.87	+56%	$29.9B	$499.37
+17%	$9.8B	$142.90	+37%	$18.0B	$288.83	+57%	$30.6B	$512.77
+18%	$10.2B	$148.68	+38%	$18.6B	$297.99	+58%	$31.4B	$526.44
+19%	$10.5B	$154.60	+39%	$19.1B	$307.34			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$4.47B	—	3.0%	-$1.79B	$2.68B	**$47.56**
Base	$6.21B	—	3.0%	-$1.79B	$4.42B	**$78.54**
Bull	$8.99B	—	3.0%	-$1.79B	$7.20B	**$127.90**

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Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 83.3% of Base enterprise value (Bear 82.5%, Bull 84.3%). The terminal WACC is 7.35% in Base (Bear 7.35%, Bull 7.35%), on a terminal beta of N/A (Bear N/A, Bull N/A).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$47.56	$51.06	$52.13	$52.25	$52.20	$51.98
Base	$78.54	$84.31	$86.90	$88.63	$90.09	$91.23
Bull	$127.90	$137.30	$142.60	$147.13	$151.18	$154.63

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $83.14 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Construction Partners, Inc. valuation framework

The franchise deep dive

Federal and state infrastructure funding; public contract awards expected up 10-15% in FY2026

Vertical integration with over 50% of liquid asphalt supplied internally, supporting pricing power

M&A roll-up: 17 acquisitions since FY2024 with $140M of acquired revenue carrying into FY27

Private demand from data centers, warehouses, and industrial projects across eight Sunbelt states

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25	9M FY26
Revenue	$1.30B	$1.56B	$1.82B	$2.81B	$2.58B
Adj EBITDA Margin	8.5%	11.1%	12.1%	15.1%	14.3%
Net Income	$21.4M	$49.0M	$68.9M	$101.8M	$85.9M

Valuation cross-check

P/E (fwd) 21.7x

DCF Base $78.54 (-6%)

TTM EPS $2.39

Forward multiple looks reasonable on its own, but DCF says the price embeds growth the model cannot underwrite. The absolute verdict is negative at $83.93.

Infra peers trade 15-25x fwd P/E

Analyst avg target $133.50

Roughly in line with acquisitive infrastructure peers on forward earnings. Analyst targets imply 60%+ upside, but our DCF is the binding constraint.

Forward P/E 21.7x vs hist avg 30.8x

52-wk range $87.65-$151.00

Trading below its own historical multiple and near the 52-week low, which usually signals value. Here it signals the market repricing acquisition-driven growth.

What to monitor

Late Nov 2026. Q4 FY26 Earnings (Two-Sided): Full-year guidance test. Backlog conversion and leverage progress are the numbers that matter.

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2026-2027. Highway Bill Reauthorization (Positive): A new multi-year federal bill would de-risk the funding backdrop for years.

FY2027. M&A Pipeline (Positive): $140M of acquired revenue carries into FY27 with an active platform and tuck-in pipeline.

Oct 2026. J.H. Strain Integration (Positive): West Texas acquisition adds two asphalt plants in the Abilene market with data center exposure.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$911M	$120M	$30M	—
2022	$1.3B	$139M	$32M	$102M
2023	$1.6B	$196M	$70M	$162M
2024	$1.8B	$258M	$111M	$204M
2025	$2.8B	$439M	$240M	$373M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$807M	$398M	$409M	$57M
2022	$1.1B	$640M	$456M	$36M
2023	$1.2B	$703M	$517M	$48M
2024	$1.5B	$968M	$574M	$75M
2025	$3.2B	$2.3B	$912M	$156M

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$48M	$56M	$124M	$105M
2022	$16M	$-69M	$159M	$-52M
2023	$157M	$-98M	$-264K	$59M
2024	$209M	$-88M	$126M	$121M
2025	$291M	$-138M	$1.1B	$153M

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $83.14 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 38 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 1.29% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $0 of sales, a net flow of $0. One-year total shareholder return is -26.8% against CEO total pay of $3.54M (Mr. Fred J. Smith III), which the model scores as SUB-OPTIMAL ALIGNMENT.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	8 / 40	1.29% of shares held by insiders
Form 4 Flow (Conviction Flow)	18 / 30	Buys $0 (0) vs sales $0 (0), net $0, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -26.8%; Mr. Fred J. Smith III, President, CEO & Director, total pay $3.54M
Agency Risk Score	**38 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

SEC proxy audit, DEF 14A filed 2026-01-27

Alignment grade B. COMPENSATION DOUBLES ON M&A (+107.0%). Fred J. (Jule) Smith, III, fiscal 2025 vs fiscal 2024; total compensation change year on year: +107.0%.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
$837,308	$2,870,328	$875,000	$57,828

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CEO total compensation surged 107.0% in fiscal 2025, heavily driven by $1.77 million in discretionary transaction and stock bonuses alongside $2.87 million in stock awards tied to transformative M&A (notably Lone Star Paving). Formulaic annual cash incentives achieved 100% of target on $423.7 million Adjusted EBITDA against a $420.0 million budget, while 3-year performance units vested at maximum levels boosted by top-decile relative TSR (96th percentile vs. Russell 2000). While pay-for-performance alignment is supported by strong operational beats and extraordinary stock returns, the Compensation Committee's heavy reliance on discretionary transaction bonuses outside formal peer benchmarking warrants ongoing monitoring.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1718227/000162828026003572/road-20260127.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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The bear case

Leverage

Debt to EBITDA sits near 3.2x against a 2.5x target, and $90.4M of annual net interest expense consumes most of operating income. Deleveraging has to happen before the multiple can expand.

Federal Funding Reauthorization

The federal highway bill faces reauthorization uncertainty. Management expects no major disruption from a continuing resolution, but short-term projects could take priority until a multi-year bill passes.

Acquisition Integration

Seventeen acquisitions since FY2024 drive most of the growth. Integration missteps or overpaying for the next platform deal would impair the compounding story.

Seasonality and Weather

Paving is seasonal and weather-exposed; wet weather already weighed on Q3 energy costs and scheduling. Quarterly results will always be lumpy.

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The strengths

Operating Quality

Regional density across eight Sunbelt states with real vertical integration in asphalt gives pricing power most pavers lack. But GAAP net margins are thin at ~3.6%, growth is heavily acquisitive, and 3.2x leverage with $90M of annual interest is a genuine constraint.

Recent Trend

Strong across the board: FY25 revenue up 54%, adjusted EBITDA up 92% with margin expanding to 15.1%, Q3 revenue up 28% with a 6.8% EPS beat, and backlog at a record $3.36B covering 80-85% of the next 12 months.

Forward Growth

7-8% organic growth guided for FY26 plus a proven M&A engine with $140M of acquired revenue entering FY27. IIJA and state funding are tailwinds. The federal highway bill reauthorization is the key overhang.

Valuation

Our DCF base of $78.54 is 6% below the $83.93 price. The market prices a 5.0% implied growth rate, below our base-case path; the premium to our base target is carried by the discount rate, not by growth. Forward P/E of 21.7x sits below the 30.8x historical average, but that does not close the DCF gap.

Cascadia scorecard

Composite score 58: Fair. Confidence High, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Regional density across eight Sunbelt states with real vertical integration in asphalt gives pricing power most pavers lack. But GAAP net margins are thin at ~3.6%, growth is heavily acquisitive, and 3.2x leverage with $90M of annual interest is a genuine constraint.	58
Recent Trend	Strong across the board: FY25 revenue up 54%, adjusted EBITDA up 92% with margin expanding to 15.1%, Q3 revenue up 28% with a 6.8% EPS beat, and backlog at a record $3.36B covering 80-85% of the next 12 months.	80
Forward Growth	7-8% organic growth guided for FY26 plus a proven M&A engine with $140M of acquired revenue entering FY27. IIJA and state funding are tailwinds. The federal highway bill reauthorization is the key overhang.	68
Valuation	Our DCF base of $78.54 is 6% below the $83.93 price. The market prices a 5.0% implied growth rate, below our base-case path; the premium to our base target is carried by the discount rate, not by growth. Forward P/E of 21.7x sits below the 30.8x historical average, but that does not close the DCF gap.	40
Catalysts & Risk	Q4 earnings and the FY27 outlook in late November are the near-term test, with highway bill reauthorization as the macro swing factor. Leverage, integration of 17 deals, and weather-exposed seasonality tilt the skew negative at this price.	45

Investment view

Q4 FY26 results and the FY2027 outlook in late November decide it: if organic growth holds 7-8% and leverage drops toward 2.5x, the downside case fades. If integration stumbles or the highway bill stalls, our $78.54 base becomes the ceiling rather than the floor.

Investment view: Hold. The $83.14 blended target implies -1%, balancing the $47.56 / $78.54 / $127.90 Bear / Base / Bull outcomes.

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